

Capillary Techno Ind (CAPILLARY)

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Call: Feb 2026

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Date: February 12 , 2026

To
BSE Limited
Listing Department
Phiroze Jeejeebhoy Towers, Dalal
Street Fort, Mumbai -400001
Scrip Code: 544614
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza , Bandra Kurla Complex
Bandra (East), Mumbai -4000051
Symbol: CAPILLARY
Dear Sir/Madam

Subject : Announcement under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript - Earnings Call - Financial Results for the quarter and nine months ended December 31, 2025 .

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("SEBI Listing Regulations"), please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Friday, February 06, 2026 .

The said transcript is also being made available on the website of the Company and can be accessed at the following link: <https://www.capillarytech.com/investors/finances-and-reports/investor-overview/transcripts/>

We request you to take the above information on records.

Yours faithfully,

For Capillary Technologies India Limited

Gireddy Bhargavi Reddy
Company Secretary and Compliance Officer
Membership No. A17091
Place: Bengaluru

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"Capillary Technologies India Limited
Q3 FY26 Earnings Conference Call "
February 06, 2026

MANAGEMENT : MR. ANEESH REDDY BODDU – FOUNDER , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
CAPILLARY TECHNOLOGIES INDIA LIMITED

MR. ANANT CHOUBEY – EXECUTIVE DIRECTOR ,
CHIEF FINANCIAL OFFICER AND CHIEF OPERATING
OFFICER – CAPILLARY TECHNOLOGIES INDIA
LIMITED
MR. SUNIL JAIN – HEAD OF CORPORATE
DEVELOPMENT – CAPILLARY TECHNOLOGIES INDIA
LIMITED

MODERATOR : MR. RISHI JHUNJHUNWALA – IIFL CAPITAL

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Moderator: Good evening everyone. We welcome you all to Capillary Technologies India Limited Earnings Call to discuss the Q3 FY26 Financial Results . Please note that a copy of the disclosure is available on the investor section of the website as well as the stock exchange. Please also note that anything said on this call which reflects the outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risk that the company faces.

Now, I shall hand over the call to Mr. Rishi Jhunjunwala from IIFL Capital to take this forward. Over to you Rishi.

Rishi Jhunjunwala : Thanks a lot, Kanav . Hello and good evening everyone. On behalf of IIFL Capital, I welcome you all for the Q3 FY26 earnings call of Capillary Technologies. To give you some in -depth understanding of the company and answer all your queries regarding the results, we have with us from the management side Mr. Aneesh Reddy Boddu, Founder, Managing Director and CEO; Mr. Anant Choubey, Executive Director, CFO and COO; and Mr. Sunil Jain, Head of Corporate Development. With that, I would hand over the call to Aneesh to take you guys through the presentation. Thank you and over to you, Aneesh.

Aneesh Reddy: Thanks Rishi. Thanks everyone for joining us today for our first earnings call and thanks for the support during the IPO and the months since then. I thought it'd be good to start today with a quick introduction on the business for some of the newer folks who are joining on call. As Capillary, we play in the loyalty and customer engagement space. We are global leaders at what we do. So what is loyalty?

Loyalty is typically any kind of a long -term customer retention type mechanism. So for example, Indigo is a customer of ours. If you've flown Indigo recently, you know, they ask you if you've signed up for BluC hip and they welcome BluC hip members on the flight before it takes off. You earn BluC hips and then you can redeem them for your next flight and things like that .

So any kind of a long -term retention mechanism where there is an earn and then there's a burn, there's all kinds of tiers and rewards and things like that, that's typically loyalty. And what we have is a platform that helps large enterprises globally run their loyalty programs. It's a fully cloud -native solution, a lot of AI in the stack there.

The way we monetize is it's long-term subscription contracts, usually three, five, seven years annual subscriptions that customers sign up for and typically linked to number of customers on the platform or number of members in the loyalty program or number of loyalty transactions that are coming to us.

So we're fairly well -regarded by all analysts in the space, whether it's a Forrester, a Gartner or you know, Everest or any of them. Some clients that might for good recall are Aditya Birla Group, Abbott, Asics, Metro Cash & Carry. Some of these are global. Abbott and Metro are across , Abbott is across 15 countries, Metro is across Europe . So in terms of presence of the company, we today work with about 410 brands, about 115 odd customers, 20 of them are Fortune 500 customers.

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Lots of scale on the platform, about 1.8 billion consumer profiles on the platform for the customers that work for us. Very, very high uptime, five nines. It's very enterprise class. Customers across about 47 countries. We're a total of about 700 folks across 16 global offices. Moving ahead, I thought it'd be good to spend some time on this. This is the latest Forrester Wave that came out in December of 2025. As you know, Forrester is the leading analyst on the marketing technology side. As you can see, as Capillary, we are positioned right at the top. We are the highest rated amongst the to

p 14 -15 vendors, both on the strength of our current offering as well as the strength of strategy on what we want to build and some of that .

Now again, the way Forrester does this evaluation is they typically go to their CMOs every 18 months, figure out what are the criteria that CMOs are looking for on the loyalty management side. This time they had 27 criteria, last time they had 28. And in those 27, they typically give you a score of 1, 3 or 5. 3 is if you are at par, 5 is if you are better than market and if some customers are willing to say that, you know, you're actually better than market. And 1 is if you are subpar.

So if you look at the ratings this time, for 22 out of the 27 criteria we had a 5 on 5. What they also talk about in the deeper brief, there's almost a page about us, it's a very detailed report in that sense. They talk about our AI -first approach. They talk about our aiRA and some of that stuff being way ahead of what the rest of the market is at.

You know, they talk about of course the five nine uptime, very high security and privacy pieces, the enterprise -grade tech stack that we have. And finally, I think in terms of customer reviews and stuff, the 5 on 5 score in 22 criteria as we spoke is also reflected in the Customer Favourite designation in what Forrester has put out there. Now why is this important?

So typically if you're a Fortune 2000 CMO in US or Europe, you typically tend to have a Forrester or a Gartner subscription and before you want to do anything, you typically go look at the report or call an analyst and you know, tell them that look, we are thinking of reviving our platform or getting to a new platform or changing something on loyalty, who should we talk to? So this gives you a direct access into some of these very large enterprise conversations. Moving forward, just a minute on the products and what we do. We basically help brands stay connected with their customers, have a long -term loyalty and retention mechanism. In short, we help them stay consumer ready as the consumer goes through their journeys.

So our main product is the Loyalty stack. A good majority of our revenues come from the Loyalty stack. This is where we are best -of-breed, as you saw on the Forrester Wave. The rest of the products, Engage, Insights and Rewards are more extensions of the Loyalty stack. Typically, customers buy our loyalty product and then they buy these as additional products, adds to our net retention rate, adds to our stickiness.

And finally, we have an AI product which runs across all our products, we call it aiR A, short for AI-powered Research Assistant. Helps you do a bunch of things, I'll cover a little bit more about that in a slide ahead. What we tend to do is our product also acts as like the single source of truth for a lot of the customer data .

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So we end up integrating with all the various parts of wherever there's a customer touchpoint, could be a POS, could be an e -commerce, could be mobile apps, a lot of kiosks if you are a QSR type play, etc . wherever there's customer data, could be customer NPS, and get all of that data in one place . So that's one part of the use case. Although we don't monetize the CDP as much, it's just the base platform on which the whole product is based. That's on the product.

Moving forward, you know, we spoke about this part in our RHP and DRHP filing. I just wanted to very quickly touch on what drives growth and what drives profitability for us. There's really three axes of growth for the business. The first and most profitable one is net retention rate. So which is how much are our existing customers expanding on the platform?

So if you take the recent results, our NRR for the entire business has been 111%. If you look at , again , the split of this 111 % , 115 % just the organic customers, which i

s customers who are on

the Capillary platform and not on platforms where we've acquired and we're migrating them over. That set is today at 115% organic expansion.

Again, how does that organic expansion come? Really , three levers. The first is platform overages, you use more than what you've been put in the contract for, you pay us additionally per transaction or per member. There's an inflationary clause where every year you pay us a few percentage points more on the base fee itself. That's the first NRR expansion piece.

The second is typically customers start with a certain version of the loyalty platform and keep upgrading as they need more or, you know, they end up buying the Engage+ stack or the Insights+ stack or aiRA or something . So that's the second.

Third is , as you saw, a lot of our customers are large conglomerates or large multinationals and they tend to take us from one country to the next, or if they're working with X number of brands, they add one more brand and that adds to, that's the category third of our expansion. This -we've seen good organic NRR.

On the inorganic NRR, what typically happens is as we migrate customers from what we have bought, the platform we've bought onto our platform, we tend to give them a discount or some of them decide not to migrate. So that's the 96% NRR. But what this also leads to is as they migrate, it improves margins, which is the intent of doing this.

The second axis of growth for us is new customer wins. So through the first nine months, we've added 12 customers, we've added three in the last quarter. So if you look at new order book in that sense, we've added INR 66 crores of new order book over the 9-month period. That compares to about INR 53 crores in the same period last year, so there's a good growth on the new order book side as well.

The third axis of growth is the M&A machine. Again to remind everyone, we buy competitors out. So basically, why do we do this? A lot of the very large enterprises already have some kind of a provider or a platform that they use and it's a very sticky product because like I showed you earlier, there are many integrations.

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We are very like there's on an average there's about 9 integrations in a customer and hence even if they want to move to a better product, there's sometimes this question of is it worth changing all those integrations? So what we've done is we say let's go buy some of these competitors at 0.5x to 1.5x revenue and migrate those customers over ourselves. So we take the task of migrating them over. And that's been a very good growth engine.

We did our fourth acquisition this year in Kognitiv back in May. We also have a couple of other letters of intent on the M&A side that we have in the market right now. So, that's the third axis of growth.

Moving to profitability, again, three big levers for profitability for us. The first is NRR-linked margin expansion. So as our existing customers grow, their cost doesn't grow as much, right? So the gross margins really so if you look at even this, through the first 9 months, we've had about 1.5% increase in gross margins in the business.

The second axis of growth for us is about 60% of our cost are not linked to revenue. So this is technology cost, sales and marketing, corporate cost which sit below the gross margin. And these don't grow at the pace of revenue, right? So for example, if you take the first nine months, our revenues grew at 22% but our non-COGS cost grew only at 11%. So there's leverage in that business that you so as we keep scaling, this part, the 60% of our cost will not grow at the same pace as our revenue does.

So the third axis of growth for us is, like I said, migrating customers that we've bought through the M&A over to our platform. Why do we do this? Really, two reasons. First is

most of these

customers that most of these companies that we buy typically tend to be low margin services heavy companies at typically a 30% gross margin while the Capillary platform is more at 69%-70% gross margin, so you directly see a good gross margin bump when you migrate.

The second is the below gross margin cost, because it's a common tech platform etc. also as you sunset those platforms, you tend to see some leverage come out there. Like for example, the last quarter we got done with the Brierley, which was one of the companies that we bought in 2023 had two platforms, so one of those platforms is fully sunset now.

So that's typically this additional cash that gets generated from improved gross margins and not having the technology team or some of that, means that it generates extra cash which enable us to pay off this half to 1.5x revenue that we pay for these acquisitions in a 4 to 5 year period, thereby also making them very high ROC buys in that sense.

Moving forward, just spending a couple of minutes on the innovation piece. There's really five key layers to our product innovation piece. The first is AI. We'll talk a little bit more about it on the next slide as well. I think we're one of the most advanced AI users on the platform. A lot of agentic as well as, machine learning type use cases for forecasting, etc. that are there in the platform.

What we've also done very nicely, moving to the second one is we've said why do you need UIs in a platform? So we'll show you some of that. So a lot of the aiRA stuff is actually very conversational. So instead of going, learning our platform, a lot of no-code workflows, just type

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in simple English analytics questions or run this campaign for me and the platform will go do it. That's the second part.

The third is more and more we seeing that, especially the newer generation of consumers want to go beyond points and coupons and things like that. So much more experience-based badges, rewards, streaks, milestones, things like that which is more gamification led stuff. That's a good part of why we win a lot of new customers from old agencies, clunky tech stacks which aren't able to keep up with some of this.

Finally, like we spoke, a lot of focus on making migrations, integrations easy because that's the big pain point in most customers when they want to move on a platform. What we've also done is spent a lot of time on verticals. So it's easy for you to on board the next airline or easy for you to on board the next hotel or on board the next healthcare player.

Finally, we work with very, very large enterprises, two of the Fortune 10, 20 of the Fortune 500, and for them, like enterprise class governance or privacy, etc. are very core, so we spend quite a bit of effort on making sure we're as good as the best software platforms available globally on these topics.

So with that, moving to the AI pieces, I'd strongly encourage you to get onto our website, look at some of the demos of aiRA. What we basically done is, there's the workflow pieces and the intelligence pieces that are really getting turbo charged with what AI is doing and that's what we've done here.

We've basically said, instead of having an analyst or a where you use an analytics company and outsource all your analytics to there, the first part of it is saying you ask a question and we will tell you, that is the software itself will tell you the intelligence.

So we kind of going beyond the usual system of record or the transaction system that we used to be and trying to get some of these analytics type use cases onto us. Similarly on running campaigns, running promotions. As you know, Engage+ is not a very large part of our revenue, but this is kind of our wedge into marketing automation, saying look, all the data is already here, you could just in

plain English ask it to run a promotion or ask it to run a campaign.

Similarly, a lot of customer support use cases where instead of, there's an API, you send us the question and it automatically replies. You don't need an agent a human agent to sit and solve some of these, right? So that's on the AI side. With that, Anant, over to you on the numbers.

Anant Choubey: Hello everyone, good evening. So here is a quick view of our Q3 and nine months results. So for Q3, company did revenue of about INR 184 crores, which is at a 16% year-on-year growth versus Q3 FY25. The revenue for the nine months period for FY26 is at about INR 543 crores, which is at about 22% year-on-year growth versus same time last year. In terms of adjusted EBITDA, for Q3 we saw INR 30 crores of adjusted EBITDA, which is about 24% year-on-year growth.

And the same number for nine months period is INR 71 crores at about 53% growth. In terms of PAT, the PAT is at about INR 8 crores, which is about 4% of revenue. And for the nine months

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period, the PAT stands at about INR9 crores, which is 2%. In terms of the key revenue metrics, the way to look at our business, the very first metric to look at is net retention revenue. And for the trailing twelve months period for December 2025, the NRR has been 111%.

If we break this down into organic and inorganic business, the organic business NRR is at 115%. And at this number, Capillary would be in the top 10 percentile of the global SaaS companies. It's a very healthy place to be in. For the inorganic business, as Aneesh was talking, we see some contraction as we migrate customers over to Capillary platform, so we saw an NRR of about 96% on the inorganic business.

Another KPI to look at is annual recurring revenue. Given we sign long-term recurring contracts with the customers, the trajectory for the business becomes very visible by ARR. So for the nine months FY26, the ARR has grown by 21% over March 2025.

Moving ahead, on the profitability metric, for the Q3 FY26 we saw adjusted EBITDA of INR 30 crores, which is about 16.4%. And for the same time last year, the adjusted EBITDA was INR 24 crores at about 15.3%. For PAT, for Q3 FY26, we saw PAT of INR8 crores, which is about 4.3% compared to same time last year, it is a decline from INR 11.4 crores. To explain this decline, this year in Q3 we had two one-time costs.

As you would be aware, there has been a change in the Direct Labour Code, which has resulted in a higher one-time gratuity expense that the impact of that we have taken in Q3, that's about INR 1.6 crores. And we had IPO expenses of about INR2 crores. If we normalize our PAT for these two one-time expenses, the PAT for Q3 FY26 is flat to Q3 FY25.

The same metric for nine months period, the adjusted EBITDA stands at about INR 71 crores at about 13% compared to INR 46 crores, which is at about 10.5%. And PAT stands at about INR 9 crores at about 1.7% for the nine months period compared to negligible number for last year at about 0.3%.

This is a slide which explains the bridge from adjusted EBITDA to PAT. The business for Q3 FY26 delivered adjusted EBITDA of INR30 crores, while PAT is at about INR 8 crores. Now the big part of this difference actually comes from depreciation and amortization, which is about INR 19 crores.

And if we compare these numbers from same time last year, you'd see that same time last year

we had tax credits and now that Indi a standalone business is also profitable, we have started seeing tax expense compared to tax credits in the past. From comparison from Q3 FY25, the finance cost as well as the finance income has reduced.

And ESOP cost has seen a marginal increase of about INR 1.5 crores. This is over INR 88 crores of salary expenses is about 1 %-1.5%, so a marginal increase over there. The depreciation and amortization h

as increased from about INR 13 crores a quarter to about INR 19 crores and this is largely on back of the acquisition that we did earlier this year, we acquired company called Kognitiv in May this year, which has led to increase in the depreciation and amortization.

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The other factor to look at is our closing cash balance for the quarter has been INR 463 crores . And if we look at our nine months operating cash flow, it stands at about INR 101 crores . Now the business generates lot more cash. So a good factor to look at over here would be nine months operating cash flow as compared to the nine months adjusted EBI TDA of about INR 71 crores. So that ratio stands at about 142%.

Now this number is higher in certain quarters and lower in certain quarters, but Capillary as a business generates more cash and typically a 105 to 110 is what we see on a sustainable basis.

A number of INR 142 crore s is an anomaly which has happened on back of higher collections.

With that, we come to the end of the presentation. Happy to open it for Q&A.

Moderator: So first question is from the line of Rishi Jhunjhunwala from IIFL Capital. Rishi, please go ahead.

Rishi Jhunjhunwala : Three questions from my side. Firstly, you know, Aneesh, what will be helpful is to just get some color around the noise that we are seeing or hearing on the last one week on AI, right? I mean, there is a plugin release from Anthropic , there is a lot of concern around software and SaaS firms globally and how th ose businesses can be disrupted?

So it would be great to just get your perspective on how do we see that in the overall scheme of thing s and whether in any way or form our offerings can potentially get either impacted or augmented by some of the developments that are happening there ?

Aneesh Reddy: Right. Yes, Rishi, I think it's been a fairly interesting week in terms of AI and all of that. I think slightly nuanced answer here. If you ask me, I think all enterprise software is not equal. So I would break enterprise software into really three big buckets. So o ne is like a system of record or a transaction system, So something like a core ERP or a core loyalty platform or a core POS, right, a billing system, things like that, where they're actually like systems of record where, you know, I think the not much of like you can move from one system of record to the next, but you still need a system of record.

So and then you have another enterprise software system which is like a workflow, right? Which is you're g etting customer tickets, you're answering them. So it's like a workflow type thing, which is let's call it a system of engagement or a system of workflow or system of engagement. And third is a system of intelligence, right? Which is like all kinds of anal ytics software's or things like a Snowflake, Databricks , etc., where the primary use case is to say look, I will do my analytics on top of it, I'll do my intelligence on top of it.

And what's happening with AI is really I think the second bucket, whi ch is the system of engagement and the system of intelligence are definitely seeing the most amount of, are seeing radical change. Now and as you can see, in a system of workflow humans are getting replaced with agents. In a similarly in a system of intell igence, again, you know, if there was someone working on data and pulling it out and doing some analytics, et c., that's again getting replaced by agents, right?

So in our case, we tend to be more a system of record and a transaction system in that sense, right? So we sit a little bit away. But it provides us an opportunity to enter into these two other

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spaces, which is the system of engagement and the system of in telligence, which is where we are kind of focusing our aiRA stuff on, say

ing look, instead of a customer going to usually having an analytics agency or having analysts pulling out reports .

Why can't aiRA do it or instead of having someone to run your campa igns for you, just plain simple English, why can't aiRA run it, right? So that's the approach we've taken. So I feel we're fairly isolated from what's happening there. In fact, some of our more recent wins in the US

which have been from agencies, customers who used to use an agency like, I don't want to name any agencies.

But moving over to us, have been because our AI stuff ensures that they don't need as many delivery people, they don't need as many analytics folks, right? And most of these agencies be it for analytics people and delivery people, which is the advantage. The second thing on us is look, I think also the change on the AI side is happening faster in the SMB, in the small and medium business space than in the enterprise space because in enterprise there's inherently a lot of integrations, a lot of complexity, a lot of corner cases which are not easy to replace. So again, as you know, 97% of our revenues come from very large enterprise customers, so we kind of I'd say in a better position there. And finally, where we see most amount of disruption on the AI side is if you have a seat-based pricing. That you have a call center and there are 50 call center agents or sales guys and my pricing is like USD 65 per salesperson, right, like a CRMish type use case. In our case, our pricing as I said is linked to number of transactions or number of customers or number of members, right? So slightly more outcome linked. And that again insulates us from any of these seat-based pricing shocks that you're now seeing in a lot of these seat-based pricing type software players.

Also we believe that unlike what came up with Anthropic and the Claude work, Claude Coworker, where it was a very broad use case around legal or a very broad use case around accounting or investment analysis, loyalty is very niche, right? So I think there's also a lot of very proprietary data that ends up getting generated in a loyalty stack. So I feel we're fairly insulated from, you know, in that sense as well. I hope I answered your question on that, Rishi.

Rishi Jhunjhunwala: Yes, thanks, Aneesh. The second question is on again another concern or noise around what is happening in US healthcare payer space. There have been announcements around lack of increase in rates, some payer companies are facing a lot of pressure in terms of profitability and that is reflected in the stock prices.

Given that you also catered to one of the large US healthcare payer and that's one of the top five clients for you. Can you give some color in terms of if that impacts you at all and how do we think about growth in that account as well as top five in the coming year?

Aneesh Reddy: Right, so I think that's a great question, Rishi. So first of all, we don't have any exposure to the Medicare and the Medicare books of business. So what we do is more for the direct payer which is the employer or for insurance type use case. So and hence we've not seen the impact of what's happening on the Medicare side. In fact we had some major go-lives. Healthcare is usually a 1 - 1, 1st of January cycle.

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Most insurances switch on that day. So we've had some major go-lives happen on the 1st of January this year, which means that our member base for this specific customer actually gone up by roughly 50%. So there's a good bump up on number of members and the revenue that will we'll see in through CY26. We similarly, I think our NRR motions are in a pretty good place, so hopefully you will see good NRR playing out on the organic platform side even through the coming years.

Rishi Jhunjhunwala: Got it. Thank you. And maybe one question for Anant.

So while we have seen EBITDA margin

expansion year-on-year, there seems to be a sharper increase in our D&A expense and as a result EBIT margins have not necessarily expanded at the same pace. Can you elaborate how much of that is driven by amortizable intangibles coming from acquisition versus a tech and other cost that we generally capitalize?

Anant Choubey: I think that's a great question. Our D&A for as in if I compare this from Q3 last year versus Q3 this year has gone from about INR 13 crores to about INR 19 crores. Majority of this increase is actually coming in from the acquisition that we did in May this year. We acquired company called Kognitiv. And that's those acquisitions basically then lead to higher D&A. And given the acquisitive nature of the business, that's what we have continued to see in the business, majority of it is coming from Kognitiv.

Rishi Jhunjhunwala: Got it. Thank you and all the best.

Moderator: Thank you. So the next question is from the line of Srinivasu K. Srinivasu you can unmute yourself and ask your question and also tell us your organization name.

Srinivasu K: Thanks for the opportunity and congratulations for the great set of numbers. My first question is you mentioned that most customers start with the loyalty stack and then gradually adopt to rewards, insights and AI over time. So could you tell us how a typical five-year customer journey how it starts and how actually you're converting them into NRR, how it is changing with current AI developments?

Aneesh Reddy: Right. That's a great question again. So typically Srinivasu most of our customers are these very large Fortune 2,000 type companies, so they tend to run an RFP. So there's a full at least a six -

month RFP process where they go to someone like a Gartner or a Forrester or to one of these loyalty consulting firms or a Deloitte or someone like that and basically go and get a list of who should they invite for the RFP.

There it's a very detailed RFP, RFI, lots of demos, there's a good negotiation that happens at the end, sometimes there's a POC and you then sign someone up. So you then decide on a vendor. So it's a fairly detailed evaluation process that you go through where, while the Forrester Wave acts as the thing of saying what are the features they should test you on, people have their own requirements so there's a very deep.

Now typically once you sign someone up, it takes anything between I'd say 3 months to 6-7 months to go live. And that's actually very fast in a loyalty context, usually people take like two years with some of our competitors. And like I mentioned, our pricing is typically linked to number of users, number of members on the platform or number of transactions that hit us.

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So when you go live, you typically launch the program and so the number of members that are on the platform keep increasing every year or the number of transactions that keep coming to us keep growing at about 3%, 4%, 5% every year. So that's the first set of NRR increase that you see between year 1 and year 2.

Then what typically happens is customers launch a program then they say look, we want to do badges, we want to do rewards, we want to do like a journey for our customers or we want to use the Engage stack or some of that. That's the second axis. So usually again, this would typically happen a year down and we had some good examples in the in the DRHP, RHP about customers who have grown significantly with us over the years.

So if you look at our numbers we've over the last many years demonstrated a 115% to 121% type NRR delivery on the system. So with AI what's happening is it's getting us into like we've never done like analytics. Insights is more a dash boarding tool there that we have, but we've never done like analysis on a specific problem that you have.

em that you have.

So with aiRA, I think we're able to get into that, we've seen some of our very large customers, we really love what they're able to do with aiRA. So we quite excited about that. Similarly in a lot of cases our customers have like a third party who uses our software to run their campaigns and things like that.

So we seeing some use cases there where you might not need as many people to run campaigns and like you'll hear a lot that people use SAP for a large enterprise. So you have delivery people using and similarly we have people using our software. So some of that is also an opportunity for us, really tapping into this salary TAM for workflow and intelligence in some senses.

Hopefully that will play into the NRR over the next few years. I hope I could answer that for you.

Srinivasu K: Yes, thanks for answering that. My next question is your Forrester Wave report says highest on both current offerings as well as strategy. So is it actually translating to win more deals against global majors?

Aneesh Reddy: I think this year we've had a like I said our new order book has gone up from INR 53 crores to like INR 66 crores in the same period of the 9 months. So unlike a lot of the other folks where you're hearing about like new business slowing down, we are not seeing that as much. So there's definitely a positive impact of leads and some of these conversations that we seeing. And traditionally Forrester is a really top -of-the-class analyst and a lot of the very large Fortune 50, 100, 500 customers take them very, very seriously. So it'll definitely help.

Srinivasu K: Thank you. And my last question is, in your initial remarks when you talked about your AI capabilities, you said your aiRA let clients ask questions, even it can handle support, setup. So that effectively actually taking over a lot of what agencies used to do. So can you share how much of your current install base is actively using this AI kind of workflows and do you intend to monetize this separately or is it actually planning to upsell to the existing customers?

Aneesh Reddy: No, we will obviously monetize this actively, but we'll stay in the loyalty space only. I mean the idea is not to monetize any of this outside. Today, as you can understand AI is fast developing.

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So a lot of these are and we've taken the approach with aiRA to say we will first give the first three months as a free pilot.

So customers start using it, start seeing the value and at the end of three months you then start charging them for it. So we now actually in conversations with a few of our first few POCs to

actually start billing them for an annual license linked to number of usage and things like that. It's still early days I would say, but we at least have out of our 115 customers today we at least have 10 or 15 who are in a POC or a post-POC type place with aiRA now.

Srinivasu K: Yes. Thanks for answering that. Best of luck for Q4 and next couple of years.

Aneesh Reddy: Thanks Srinivasu.

Moderator: The next question is from the line of Hiral Sanghavi. Please tell us your organization name and go ahead.

Hiral Sanghavi : Yes, I am from Pioneer Investcorp and my question is, I would like to understand the Capillary's loyalty platform business model. So, specifically, are these revenue being monetized from subscription-led or GMV-linked model?

Aneesh Reddy: It's a subscription-led model, Hiral. So typically customers sign up with us for 3, 5, more years sometimes. And it's an annual recurring subscription fee that you pay us. So it's typically there's a minimum amount that you'll at least pay us linked to, let's say, a X million transactions or X million members in the program.

And as you get beyond that number, let's say, it's 5 million members which is we charging you half a million for, just making

these numbers up. Once you get beyond that 5 million members, you again pay us additionally per member. So it's not a GMV model at all. We don't have any parts of the business which is a GMV like model. So and it reflects in our gross margins as well, our gross margins are around the 69%-70% now. So it is a high gross margin software business in that sense.

Hiral Sanghavi : All right. Thank you so much. All the best.

Aneesh Reddy: Thank you.

Moderator: Thanks, Hiral. The next question is from Nikhil Choudhary. Please tell us your organization name and go ahead.

Nikhil Choudhary: Yes. Thank you so much for giving me the opportunity. So I actually had a follow on to the probably the first participant's question where you answered that we are actually a system of record. So I just wanted to understand if, what if an enterprise actually adopts a maybe an Claude-style agents inside their CRM or data with actually the direct access to the customer history which we actually have. So what actually must retain with actually us so as to remain the system of record?

Like, I'm just trying to understand how are we a system of record because I used to always understand system of record actually is usually where probably there is like say payroll or Capillary Technologies India Limited

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probably maybe a n accounting transaction where probably an audit is essential. So just wanted to understand how are we a system of record here?

Aneesh Reddy: Perfect. So Nikhil, the entire ledger for all the earn and burn, how many points you've earned, how many points you've redeemed, how many have expired, how many promotion points, bonus points, just making an example, that entire ledger like a bank ends up sitting on our side.

So and that's typically how you would look at a not only this, even for the customer data. Like I said, for a lot of our customers we end up integrating into their various customer touchpoints and even the customer profile, like we spoke about those 1.8 billion consumer profiles.

Other than probably 1 out of the 115 in everyone else that customer profile also is kind of built on us and sits with us, right? So that's the - like that's typically how you would look at a system of record like. Did I answer that for you?

Nikhil Choudhary : Yes, so I'm just trying to visualize because all this is actually new for us also, we are also trying to comprehend. So because I while you came with an IPO I understood that probably you are a very like difficult with the switching cost in our business is very high. So I'm just trying to connect with probably the current scheme of things how will it impact us and that is why actually I had also the similar question. So yes probably - so basically, you mean to say that we have an explicit ownership of the loyalty points ledger or probably the maybe the qualification logic or something like that?

Aneesh Reddy: So actually the logic, the logic is defined on our platform. We calculate how many points, rewards, cashback, whatever you're getting, the redemption also sits on our platform, the expiry also sits on our platform. So all of that, the calculation and the, you know, the actual storing of all that data. In fact a lot of our customers audit the system every X years.

So, it's again like you said, there's a full audit angle to it. There is all of that. Like, it's think of it like any bank ledger. Yes. And it's like actual currency, right? So there's like a lot of our programs are like INR 1,000 crores of currency sitting in our platform. So and so it's like currency, so it's almost looked at like a n active bank ledger in that sense.

Nikhil Choudhary : Got it, got it. Now this makes it more clear. Thank you so much and wish you all the best.

Aneesh Reddy: Thanks Nikhil.

Moderator: Thanks. The next question is from the line of Rohan Nagpal from Helios Capital .

Please go ahead.

Rohan Nagpal : Hi, thanks for taking my question. The first question I want to ask was, so since 6 0% of your cost is fixed, not linked to revenue, how should one think about the scaling of that cost over time, like maybe near -term and medium -term? How do you see that moving?

Aneesh Reddy: Anant, do you want to take that?

Anant Choubey: Yes, so Rohan as you pointed out about 60% of the cost is non -COGS, which is largely towards tech and product and sales and marketing. Now this is the cost which increases more near Capillary Technologies India Limited
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inflation rate and if we decide to do any new product development. Now this is where we see lot of economies of scale.

As the business grows, this cost is growing at a much lower rate and as we do acquisitions, this cost doesn't get impacted at all. And this is where the economies of scale has been coming and if you see o ver the last few years the EBITDA have moved from say in FY 23 from about -4% to about 12% in FY '25 and has continued to improve thereafter. Did I answer your question?

Rohan Nagpal : Fair enough, but I mean how do you see that moving from here on? Are there any significant investments in product or infra that you have planned or do you expect these to sort of move in line with inflation? Is there anything that one should be sort of, particularly one should keep in mind as a model cost growth over t he near to medium term?

Anant Choubey : So, as Aneesh spoke about, some of the product investments that we've been doing on AI stuff, that has been delivering good results and that's been helping improve productivity as well as improve productivity within Capillary as well as for our customers. And it is also helping us improve our win rates versus competition , given a lot of our competition is more agency drive n. So that's an investment that we would continue to make.

The other is investment that we've been doing towards the product for migration of customers, migration from a legacy platform onto Capillary platform. So making that lot more smooth and painless for our customers and that's something that we have tried wi th some of our earlier acquisitions and have been continuing to invest on. So those investments would continue. At this point in time, we don't have new products planned, but as and when we plan new products we would keep the folks updated.

Rohan Nagpal: Okay. So - yes, sorry.

Aneesh Reddy: Yes, I think from a sorry go ahead, Rohan.

Rohan Nagpal: No, no. Sorry, go ahead.

Aneesh Reddy: Yes. I think from a like you said , I think inflation plus a few more points for team growth, I think that should be a good way to think of this.

Rohan Nagpal : Okay, understood. And team growth should be like how do you think about that? I'm just trying to understand where we are in the pr oduct and business cycle , so to speak. Are we in , like, investment phase, are we kind of sweating assets that are already in place? Just trying to get a sense of that.

Aneesh Reddy: So let me so if you look at our last few years, our technology and Cor p cost used to be about 28% of revenue. It came down to about 18% for last year and it's on a similar trend now. There's definitely a lot more leverage left. I definitely don't want to guide to any number on what but you will see some of these improve . You will like , Anant said , you will see further improvement on, like, the below COGS items contribution to like as a percentage of revenue will keep going down.

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Rohan Nagpal : Okay, fair enough. And then my second question was around aiRA. So how do you see aiRA in terms of its potential to monetize within each user, like have you thought about monetization or is it too early in the life of the product to go there ?

Aneesh Reddy: You know actually in my

head, like again, we put this as part of the RHP and all that stuff as

well. Our biggest competitors are agencies . So if you look at the rest of the names on the Forrester Wave, I think most of them are agencies . Of course Salesforce is not, but if you look at the majority of the names there. And a large part of aiRA for us is really saying if you needed 30 people in an agency to run loyalty program you will need five on Capillary . So the first large part of aiRA for me is even more than just monetizing and just the NRR part,

it's just improving win rates . It's just a massive differentiator, n o agency will do it because it hits them harder than for us anyway we don't monetize that right? So I mean we don't have heads doing a lot of this stuff .

So for me at least when we think of the product it's we believe that aiRA is a force multiplie r on improving our win rates, which is kind of what we are seeing at least in the US right now. Now that's the first big use case of aiRA. The second is , of course , look, I think some of these areas are slightly newer for us, the whole system of intelligence replacing that with - so we've started experimenting with pricing .

Like I said , it's still early days. Hopefully in a couple of quarters we'll know what's the right way to price this , price aiRA, the analytics use case or the delivery use case of campaigns, things like that.

Rohan Nagpal : Okay, okay. So just wanted to check my understanding of this. So right now it's more like helps us get a foot in the door proposition as opposed to a helps us nudge NRR higher. Is that fair?

Aneesh Reddy: So I think it's already proven its value in the first part, which is helping us win more . I won't say foot in the door because you're already in the RFP and that's when people love what they see. I think the second one like I said, we've had a bunch of POCs . We are in early negotiations on converting some of them. So that's the part where there is promise but it's not, I mean we will need a quarter or two to actually get to telling you how much of NRR can come from this.

Rohan Nagpal : Okay. And when you think about the last thing from my end, when you think about this, what would success for you look like , in terms of getting a sort of NRR bump from aiR A? Or do you have anything like t hat in mind or again too early?

Aneesh Reddy: I would say probably a good question to answer in a couple of quarters . So yes. Because it's a slightly adjacent TAM which we are dipping into. So even our view has been , let's, which is why, like I told you , we've said first give it free for three months. Let's see usage, let's see what kind of stuff is happening right? And we seeing a lot of usage, which means people are finding value, but a lit tle early .

Rohan Nagpal : Sure. Okay. That's it from my end. Thank you so much.

Aneesh Reddy: Thanks Rohan.

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Moderator: Thanks, The next question is from the line of Sumukh . Please go ahead.

Sumukh : So, sir, you mentioned about agencies and they are your competitors. So can you please explain how are they different from what you guys do? Because I'm new to this industry , so wanted some understanding on that.

Aneesh Reddy: Yes, let me just take you to the Forrester Wave, perfect. So if you look at the top three here, there's us then there's a company called Kobie, there's a company ca lled Epsilon. I'd encourage you to once just look at the Kobie and the Epsilon side. So these are typically like marketing agencies like, they do creative, they do ads, they do all that kind of stuff , and they also tend to have a tech platform, but the pri mary model tends to be that we will charge you for X number of people to r un this program for you.

While ours is more a , you buying a software, and you use it yourself . That kind of a structure in so typically we've now migrated custo

mers from some of these agencies over to us and they tend

to be very, very , like, each program is run by 30 people . So very, very people heavy , while you can do a lot of that stuff with software. So that's the piece that I was saying that , and if you look at the US majority of the loyalty space is owned by agencies. So moving to software and some of that is relatively newer as a concept in the US. Did I answer that question Sumukh?

Sumukh : Yes sir, that does. And also, sir, so let's say there is an organization, FMCG organization, so if they have to start thinking about running a loyalty program now , and then they come to you. So what are the problem points that you're going to solve for the m? Is it like you're going to nudge the customer to come in and using your analytics or points or whatever to increase the transaction value for this FMCG company , or you are just a guy who maintains the ledger and takes care of the transaction at the back end?

So all the like basically if I look at the FMCG website . I can see how many points or how many reward points I have, but your software sits at the back end and it only does the ledger part of it or is there any analytics and performance basi cally nudging the customer to, increase its transaction or that kind of stuff?

Aneesh Reddy: Right. So let's take the example of Abbott , who is one of our customers who is also on the or any FMCG for that matter, typically for a lot of these FMCG companies it's not just the program, the frontend interface, right, which could be the mobile app or it could be the website are also extensions that come from the Capillary platform .

So like, so in these cases it would be , basically helping them come up with the tech platform which then the frontend interface like a mobile app where you will have where the customers

can first download it, scan a QR code or scan a receipt, earn points or earn rewards etc.. Similarly, what we'll also do for a lot of these is, you'd have some kind of a redemption mechanism, like where they could redeem those points for a movie ticket or they could redeem those points for, in some cases we run these programs for painters where you could pay your phone bill with it, things like that.

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So the entire stack ends up coming from there. Now what we allow a lot of the FMCG or these kind of companies to do is also retarget those customers saying look, you spend like whatever, buy I don't know, 10 tins of paint this month, and here is additional reward that unlocks for you. So there's some amount of targeting, some amount of stuff that you can do on the platform, right? So in a FMCG use case it's also the frontend which is so yes, that's in that vertical typically you don't have a customer, you don't have a retail store or you don't have e-commerce website, right? So which is where some of these interfaces also end up coming from our platform.

Sumukh: Okay, so this is like a standalone app outside the main FMCG app, exclusively for rewards and redeeming points?

Aneesh Reddy: In a lot of use cases, it's the only use case that the FMCG has. So like the Abbott apps are all essentially run on the Capillary platform, across these 15 countries including in India. So yes.

Like there'll be an app for PediaSure, things like that. If you want more, there's some case studies on our website. You can take a look.

Sumukh: Thank you, sir. That's helpful and all the best for your coming quarters.

Aneesh Reddy: Thank you.

Moderator: Thank you. We'll take that as the last question. Now I'll hand over to Aneesh for his closing remarks. Aneesh, please go ahead.

Aneesh Reddy: Thanks everyone for joining us today and having placed your confidence in us. I'm hoping, we can live up to it over the next few quarters, and thank you again. Have a great weekend.

Moderator: Thanks

everyone.

Call: May 2026

www.capillarytech.com

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To
BSE Limited
Listing Department
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Street Fort, Mumbai -400001
Scrip Code: 544614
To,
National Stock Exchange of India Limited
Listing Department
Exchange Plaza , Bandra Kurla Complex
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Symbol: CAPILLARY
Dear Sir/Madam

Subject : Announcement under Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 - Transcript - Earnings Call - Financial Results for the quarter and year ended March 31, 2026 .

Pursuant to Regulation 30 read with Schedule III of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, ("SEBI Listing Regulations"), please find enclosed herewith the transcript of the earnings conference call with analysts and investors held on Wednesday, May 06, 2026 .

The said transcript is also being made available on the website of the Company and can be accessed at the following link: <https://www.capillarytech.com/investors/>

We request you to take the above information on records.

Yours faithfully,

For Capillary Technologies India Limited

Gireddy Bhargavi Reddy
Company Secretary and Compliance Officer
Membership No. A17091
Place: Bengaluru

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"Capillary Technologies India Limited
Q4 FY '26 Earnings Conference Call "
May 06, 2026

MANAGEMENT : MR. ANEESH REDDY BODDU – FOUNDER , MANAGING
DIRECTOR AND CHIEF EXECUTIVE OFFICER –
CAPILLARY TECHNOLOGIES INDIA LIMITED
MR. ANANT CHOUBEY – EXECUTIVE DIRECTOR ,
CHIEF FINANCIAL OFFICER AND CHIEF OPERATING
OFFICER – CAPILLARY TECHNOLOGIES INDIA
LIMITED

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Moderator : Hello and good evening, everyone. On behalf of EY IR practice, I welcome you all to the Q4 and FY '26 Earnings Call of Capillary Technologies India Limited. Please note that a copy of the disclosures are available on the Investor section of the website as well as on the Stock Exchange . Please note that anything said on this call which reflects the outlook for the future or which could be construed as a forward -looking statement must be reviewed in conjunction with the risks that the company faces.

To give you some in -depth understanding of the company and answer to all of your queries regarding the results and the company, we have with us the management side, Mr. Aneesh Reddy Boddu , Founder, Managing Director and CEO, and Mr. Anant Choubey, Executive Director, CFO and COO.

With that being said, I would like to hand over the call to Aneesh to take you guys through the presentation. Thank you. Over to you, Aneesh.

Aneesh Reddy: Thanks, Kanav. Hi everyone. Thanks for joining us today for our second quarterly call and our first annual call. Kanav has introduced us already, so let's move. We thought we will spend a few minutes as a quick refresher to what we do as a company.

We play in the loyalty and engagement space. We are a global leader in what we do. We basically offer AI -powered cloud solutions for larger enterprises to run their loyalty programs. We today work with 20 of the Fortune 500 customers . So, about 400 brands that use our platform.

We probably have the largest data set on customer loyalty globally, about 1.9 billion consumers on the platform for these large brands that work with us. Customers in about 49 countries now. About 700 employees worldwide. We are a system of record, part of the infrastructure for every transaction that happens for any of our customers ends up hitting our platform, so uptime is very important for us.

We have a Five nines (99.999%) uptime as a platform. What's loyalty? Loyalty is any kind of a long-term retention mechanic. So, in India, if you've stayed at a Taj, the Taj InnerCircle program, or if you've flown an Indigo recently, the IndiGo BluChip , you know, or if you've shopped at the Tatas, the Tata Neu program, right? Any kind of a long -term earn -retention kind of program is what loyalty is.

We power that for some of the brands that I mentioned right now and for about 115 large enterprises globally. Yes, that's the latest Forrester Wave that came out at the end of last year in December of 2025. You can see us right at the top there. We, both in terms of the strength of the current offering and in terms of strategy on what we want to build, we are regarded to be the best in the world at this.

Take any analyst report for that matter, whether it's an Everest, whether it is a Spark, whether it's Loyalty360, you will see us either in the first position, sometimes in the second. Again, what do analysts and customers like about us? Our tech stack is fairly AI -native now as compared to most of our competition, which tends to be agencies or mega vendors.

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We have a much more deeper tech stack, very AI -first platform approach. The report is actually available on our website for a download. So, if you read it up, it talks about our AI -first platform approach. It also talks about good customer feedback. Out of the 27 criteria that Forrester has for loyalty, we have a 5 on 5 on 22. I think that's probably the highest that you have in that report for anyone.

Again, quickly recapping on the products of the company. We have a customer data platform as the base. Basically, we integrate into every touchpoint of the customer, whether it's the POS, whether it's the e-commerce, mobile apps, etc etc. We get all of their customer data into one place. We then use it

to run their loyalty program across channels, across all touchpoints.

Our loyalty stack is roughly, I'd say, 90% of our revenues, majority of our revenues come from the loyalty stack. It is a system of record. It's priced on a per-member or a per-transaction type pricing. Very system of record like bank ledger like pricing there. This is our bread and butter. It's what we are best at. Our customers also use some of our other products. Engage is our marketing automation, campaigns type product.

About 5% to 7% of our revenues come from the Engage stack. Insights is our dashboards and some of that. Rewards, we power third-party rewards for a lot of our customers, especially banks and telcos who work with us. Rewards is again more around the 5%, 7% of our revenues. Off late we in the last few calls have spoken about our AI stack, aiRA. aiRA has seen some pretty good love in the last quarter or so.

We are a few million dollars now in revenues from the aiRA stack. The aiRA stack will, I think, over a period of time replace our Insights piece, but we'll talk about it more in the slides ahead. Overall, what we try and do as a platform is deliver loyalty as an outcome, which kind of differentiates us quite a bit against our competition, which tend to be more like a points program or more like a points solution.

We tend to do, like, not only the system of record piece but also help you action it out, help you see your insights and a lot more on the same platform. Right, so with that, Anant, you want to move next?

Yes, coming to growth and profitability levers for the firm. You know, we'd covered this in the last two calls as well. There are really three levers of growth for the business. The first is net retention rate expansion, which is how much are our customers growing annually on our platform. If you look at our FY26 net retention rate, we had a 110% NRR for the full year.

Organic, which is customers who started the year on the Capillary platform.

So as you know, we also do acquisitions, so there is a chunk of revenue that sits on platforms that we've acquired. Usually, we call organic as customers who started the year on the Capillary platform. So, organic expansion has been at 114% for the year, powered by three levers again. The first is platform usage, overages, and inflationary increases. We've seen pretty good growth coming there.

The second is product upgrades, things like the AI stack, Engage. We are seeing, very good traction on the AI stack specifically. About a fourth of our customers now are either piloting it

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or already paying us for using that stack. The third, of course, is, our existing customers taking us to more new brands or geographies. This is, let's say, a customer like Tatas, who are a large customer for us, taking us to a new brand that they have acquired.

Or a customer like Abbott taking us to a new country. Right, so that's the third expansion piece.

Together, we've delivered a 114% on the Capillary stack. On the inorganic side, our net retention rate for the year is 94%. As we had mentioned in the DRHP and spoken about last time as well, typically on inorganic, you acquire the business, you get a bunch of customers, then you upgrade them onto the Capillary platform from the older platform that they were on.

During this upgrade, you tend to give them a discount, not everyone migrates, right? So, you give them one-time discounts. So, last year we had significant migrations from Brierley as well as the Persuade platforms. So, overall NRR for the inorganic side was 94%, and overall that brings you to an average of 110% between the organic and the inorganic pieces. So, that's the first lever of growth, net retention rate.

Continues to be pretty good on the platform side, on the core Capillary platform side, we continue to see the 114%, 115% NRR. Second axis

of growth for us is the new customer wins.

So, this is net new logos that we continue to win. Last year was a pretty good year in terms of number of deals that we did. We also announced a very large Fortune 500 retailer, a \$20 million deal over a four-to-five-year period that we signed up in March.

We've seen, so if you look at last year, we've signed at least, I think, three to four Fortune 500 customers through the year. So, some very, very good momentum, especially in the US on the new logo side. Coming to our third axis of growth, M&A. We announced the acquiring the merchant loyalty business from Mastercard. It's a company called SessionM on Feb 24th. We closed that transaction on May 1st. So it's a sizeable \$35 million business, 40 plus logos, including five Fortune 500 companies.

We had spoken about this in the last call that this should take us to, you know, over the next 12 to 18 months, this will take us to 115 million in ARR as an entity. Having said that, you know, M&As take time to deliver EBITDA for us because, you know, as the customers upgrade to the Capillary platform is when you see the margins increase.

So, the EBITDA expansion cycle might take a year or two on the SessionM side. On the Kognitiv part, we've already started to see EBITDA getting accrued on from the acquisition. We've been having very good conversations on upgrading the Kognitiv customers to our platform. There's also a lot of interest from Kognitiv as well as SessionM customers on the AIRA stack, which is helping these conversations on a faster upgrade, which will eventually lead to both revenue as well as EBITDA growth.

Right, so I think overall growth has been pretty good for the year. Q4 grew at 26% year-on-year. For the full year, we grew at 23%. Some good solid growth there. Coming to profitability levers, we again have three profitability levers there. First is the net retention rate-led expansion comes at a higher margin because your cost of data, the servers, the, you know, the team cost is already loaded, right?

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So, any net retention rate typically comes at an 85% to 90% gross margins, which then reflects in the overall gross margin going up. Looking at FY26 over FY25, our overall gross margins increased by about a percent thanks to this overall NRR of 110%, right? So, the second axis of growth is leverage on the non-COGS cost. We, you know, about 60% of our cost is not linked to, you know, cost of goods sold, is below the gross margins. This is things like technology, sales and marketing, corporate functions.

If you look at our last year's numbers, revenue grew 23%, but overall cost grew about 14%, right? So, that again shows up as a clean flow down into EBITDA's. Finally, coming to upgrade of customers from M&A. As you know, our strategy is to buy on the M&A side competing platforms and, you know, which typically run on a low gross margin and upgrade those customers to the Capillary platform.

So, what the customers get is a AI-first stack, very high efficiency, you can do a lot of stuff by just configurations, you need not, where it also helps us as the customer upgrades, we move from the 30% gross margin to a 65% gross margin, which means better profitability and better cash flow generation. We shared some data in our last analyst call where we actually showed you that, you know, for the first two acquisitions that we did, we've had a four-year cash payback. We are expecting Brierley as well as the Kognitiv acquisitions to also return cash in, about the cash we paid fully back in about a similar time frame. So, another big update here is we've now developed an AI-led platform to upgrade customers from our acquired stacks to Capillary. We think this will significantly improve the pace of, you know, upgrades, one.

Second, I think it also improves the experience

for the customer. So, instead of a big migration

and a lot of work, it's typically a two-to-four-week UAT which then the customer needs to do.

We are very hopeful that this will lead to a lot of acceleration on improvement in margins and, you know, integrations from acquisitions not taking a long time but happening in a 12-to-18-month type period. Right, so again overall on the EBITDA numbers, you know, we closed Q4 at a 19% adjusted EBITDA margin. A good improvement from last year. For the full year again, we had a pretty good 14.7% margin. Yes, with that, let's move forward, Anant.

We spoke about this last time as well. You know, we spend about, I'd say, about 20% of our revenues on technology teams. So, we are constantly building to keep the platform at the cutting edge and, you know, I think the goal is to be the best loyalty platform globally. We today are there and we'll hopefully continue to be there going forward as well.

There's really five things we do to really be at the cutting edge. The first is the pieces around the AI-first loyalty. There is a lot of stuff, even non-generative AI, right? Just the older AI stuff around forecasting, fraud prevention, helping you to configure better, a lot of that in the tool.

The second is of course conversational interfaces. The idea is to remove the need for any training for anyone to use the platform, right?

Simple English, you should be able to do a lot of stuff. We've also now launched a bunch of stuff around no-code workflows for integration, for faster go-lives and things like that. The third is going beyond the usual points and membership. We think the younger audiences tend to like

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a lot more community rewards, challenges, gamification type loyalty experiences. We probably

again have the best Swiss Army knife type coverage on a lot of these non-financial, you know, rewards and loyalty experiences.

Fourth, although we are a horizontal play across multiple verticals, we've always looked at loyalty as being vertical-specific. We continue to make those investments. You know, today we support, although we started off with retail, we support hotels, we support, you know, airlines, we support healthcare, we support a bunch of verticals and every year we pick one or two verticals and build deep for it. This also plays very well into the AI pieces.

You know, I think we are also able to embed a lot more of the vertical-specific use cases both on analytics and on campaigns or actioning through a very vertical-specific focus. Finally, we work with very, very large enterprises and there is a constant investment on privacy, data security, compliance, etc., which keeps us, you know, ahead of the curve on the trust governance and the enterprise readiness side.

Coming to the AI piece, you know, there's a lot of talk on the AI side. We thought we'll cover this a little bit more in detail today. So, I think the foundation of what we do is the core loyalty platform, right? So, this is a system of record. It is a bank ledger for customers who give points out or give rewards out or give coupons out and things like that. It's truly a system of record, very, very accurate, very auditable.

A lot of our customers run annual audits, so it can't be a fuzzy AI-led system. It's a very hard, very stable, deep database that we maintain for each of our customers. The pricing here is again a per-transaction or a per-member based pricing. So, this is a very system of record like pricing. We do believe that with AI coming in, you might move from one system of record to another, which would have happened even in a pre-AI world, but system of records will continue to exist and stay, right?

So, that's the core platform that's 90% plus of our revenues. Rewards is another system of record. So, between system of records, we probably have between 90% to 95% of our

revenue coming

from there. What we are actually seeing is with AIRA and some of the stuff that we've done now, we are able to go beyond a system of record. Right, so what we are able to do is we now have a very powerful analytics agent. Given the depth of data that we have across customers, right? 1.9 billion consumers, over 10 billion transactions every year, over a trillion dollars of commerce that hits the platform annually now.

We've been able to codify this down into a very, very strong analytics agent, right? So, and the idea is that if you're a user on the customer side, you can ask it any kind of question, any kind of analysis, and it would do a very deep job of responding, you know, specific to that vertical, specific to this customer's language. We think this is a very, very large space in the loyalty marketing or in general in the retention marketing space.

Because today what happens is mostly a lot of this is done by agencies. And the experience with the agency is you send them an email, you call them, they will send you a PPT, you've already moved on. While here it is like chatting with ChatGPT or Claude, right? You just type in a

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question; five minutes it tells you what you asked for. And we've seen very good adoption on the AIRA stack. It's been like adoption-wise; I think it's been our fastest in terms of both trials and then, you know, as customers use, they continue to use more.

We are also pricing this interestingly on an action and outcome-based price, which is number of questions you asked, number of analysis you did type pricing. So, I think there is a possibility of a serious increase in NRRs if this takes off. The third piece is once you've done your analysis, you know, you want to run a campaign or you want to, you know, go do some action.

Right, you want to target someone better, you want to, like, plan out which products you want to put in which stores, or, you know, some kind of an analysis, some kind of an action, right, beyond the analysis. We are now taking AIRA into more the action space as well. Again, this will kind of replace a little bit of what we do on the Engage stack, but again we are seeing very, very good adoption here.

So, overall, I think, you know, our TAM today was largely in the loyalty platform, the foundation space that you see. We are now expanding into the intelligence and the action spaces as well. So, which traditionally has been like less than 5% of our revenue. So, we think there is significant addition of TAM that will happen if this plays out like how we are seeing it play. Just to summarize for you, AI does not replace the loyalty platform.

We continue to be a system of record, so hard to replace that. What it does is it does multiply what the platform can do. So, instead of going to an analytics agency for your analytics or instead of going to some other tool for your campaigns or actions, today you can do pretty much all of that stuff in Capillary.

Right, so we do think we are seeing a lot of uptake for trials and using some of this. We do think

this will play out into serious revenues over the next few quarters. So, with that, this is a little bit on AIRA. We've added more functionality to AIRA from last time. It was a little bit more support and analytics. Today we do campaign execution, a lot of decision intelligence type stuff. Analytics insights we had last time as well. We are also adding a creative studio to it. So, as a marketer, you could just say spin up five different type of campaigns and emailers and creatives. It'll do that for you.

We are also doing a lot of very cool stuff on trying to build a harness so you can have very good brand context and memory here. , so a bunch of good stuff that, you know, some of these demos are available on our website. I don't want to use a lot of the call for it today. But

very good

traction on this. In fact, what we're starting to see is a lot of learning that's starting to happen, right?

You analyse, you ask some questions, you analyse data, you decide what you want to do, you act, and then the system goes back and measures if that worked or that didn't work, right? So, I think we're starting to see that loop taking shape on the platform very well. With that, over to you Anant on the numbers.

Anant Choubey: So, here's a quick snapshot of Q4 as well as FY26. We ended Q4 at a healthy growth of 26% year-on-year on revenue versus last year at INR191 crores. Adjusted EBITDA saw another 28% increase. Capillary Technologies India Limited
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year-on-year growth for the same time period at about INR35.7 crores. And in terms of PAT, we stand at INR43 crores for the quarter. If we normalize this, that's at about INR19.6 crores, and I'm going to take you in detail on what this normalization is over the next few slides.

In terms of FY26, we ended the year at revenue of INR734 crores. That's at 23% year-on-year increase. At a 43% increase in adjusted EBITDA at about INR107 crores, and a normalized PAT for the year at about INR32 crores. Moving ahead. So, what you see on the screen is a 53% CAGR revenue over the last four years. And as you've seen by now, loyalty is a very sticky business which compounds naturally at a high single digit. And as we shared before, our NRRs have been in the range of 110 to 115, which means that your existing customers are growing at 10% to 15% year-on-year.

And what makes it very predictable is that about third of this growth comes from inflationary increases, from metric expansion, so things that don't need any effort and it continues to be a healthy trend for our business. On EBITDA front, you can see constant growth over the last few years. Over the last four years, our adjusted EBITDA has grown from -3% to about 14.6%. And large contributors for this growth is NRR-linked growth because that comes at a much higher margin.

And then Aneesh was telling that our COGS are growing at a much lower rate compared to the top-line growth. And lastly, migration of the customers that we get through acquisitions onto Capillary platform. So, a combination of these show a healthy trend on both revenue as well as on adjusted EBITDA.

Moving ahead. A little bit more colour on inorganic NRR over here. So, when we acquire companies, what we get is a business with low gross margin and a people-intensive time and material-based model, which is then moved onto Capillary platform and converted into a tech model from an agency-driven model. Now, this migration means that the gross margin goes up significantly, but in this process, we end up retaining about 70% of the top line that of what we acquired and hence you see a sub-100 of NRR.

But this revenue profile converts to a 45% to 50% contribution margin. So, this is a design of the business to keep in mind as you see on both growth and profitability. Now, the other important piece is 45% CAGR on run rate. We ended the year at a run rate of INR765 crores. And in terms of new business, we continue to see strong new business. We have new ACV of INR121 crores, similar to that of last year.

And you would see that our sales investment is at about 17% of top line, which is best-in-class in the industry. In terms of profitability metric, this is an important slide. Our PAT for whole of last year was about INR14 crores, and just Q4 normalized PAT is at INR19.6 crores. So, you can see the trajectory of the business here. Now, to understand the delta in PAT versus normalized PAT here, in Q4 we had a one-time exceptional income of INR25 crores.

Now, this exceptional income represents compensation received under a churn indemnity clause in the Kognitiv acquisition, which was triggered because seller failed to meet certain agreed commitments. And it's a

one-time thing and hence we have called it out separately and hence a
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normalized PAT has been shared. You can see a healthy growth in both Q4 as well as FY26 level on PAT growth.

So, at a normalized level, you see a 51% growth at a Q4 level and 128% growth at a FY26 level. Now, moving ahead on cash front. The business inherently generates cash, and this can be seen from the fact that we had adjusted EBITDA of INR107 crores and operating cash flows of INR150 crores. Now, this happens because we bill and collect money upfront in a healthy growing business.

So, a good KPI to look at over here is free cash flow to PAT. That's also at a very healthy number of 200%. And in terms of return on capital employed, we have seen a constant improvement and today stand at about 3%. And a more relevant term for a cash-generating business like ours is a cash return on invested capital, and this stands at 22%.

Moving ahead. Now, if you look at the relation between a PAT, EBITDA, and adjusted EBITDA, PAT of about INR43 crores, removing the exceptional one-time income of about INR25 crores from here. If you look at the tax expense or credits that continues to be negative and would continue to be negative given we have accumulated tax losses.

Then about depreciation and amortization expense of about INR19 crores for Q4. Again, this trend would continue given the acquisitive nature of the business. And finance cost of about a crore. That gets us to an EBITDA of INR38 crores.

ESOP expenses continues to be in range of about INR3 to INR4 crores, and finance income of about INR6 crores. That takes to adjusted EBITDA of INR35 crores. So, our adjusted EBITDA margins for Q4 has been at about 19% and for the year stands at about 15%.

So, that brings us to the end of the presentation. We've shared FAQs, but happy to take any questions.

Moderator : Thanks, Anant . So, now whoever wants to ask a question, please use the raise hand symbol on your screen and we'll wait for a while for the questions to assemble. So, first question is from the line of Disha Chordiya . Disha, please go ahead.

Disha Chordiya: Hello. Am I audible, sir?

Moderator: Yes, Disha. Please go ahead.

Disha Chordiya: Yes, thank you so much for this opportunity and congratulations for a good set of results. So, looking at the margins trajectory, we can clearly see operating leverage playing out. And this 16% sort of EBITDA that we've done in Q4 .

How sustainable do you feel this is because I think as our base is rising, the operating leverage will get more benefit due to that. So, where do you see this sustainability of this 16% margins and how do you see the steady-state margin level?

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Anant Choubey : So, if you look at the business, Disha, it's a run rate -driven business and high stickiness in terms of revenue. So, we expect these margin levels to continue. Now, you see a bit of increase in cost in Q1 given the salary increments happen in this quarter.

So, there is a bit of softness that happens in Q1, but what you see on a Q4 is a sustainable number going forward. Now, in terms of the percentage numbers, you might see a dip given we have just announced acquisition of SessionM. But on absolute dollar or rupee value number, you would continue to see healthy growth.

Disha Chordiya: And just in terms of our percentage, so this year I think we had compared to last year, 150 bps sort of margin expansion. So can we continue to grow in terms of the percentage basis, 150 to 200 bps increase, can we see in FY27 and go in the head?

Anant Choubey: Disha, we have delivered percentage expansion over the last few years, as I showing you, like last four years trend, we have continued to have percentage expansion.

But I don't want to comment on what the future might be give

n the large acquisition that we've

just done. So percentage growth might be a little slow, but the absolute number growth would continue.

Aneesh Reddy: Let me break that up for you, Disha. So, there is the Capillary core platform revenues, which today generate pretty much all the EBITDA in the business. Those you will continue to see rise, right? So, even in this, I don't know, in this INR735 crores, probably about INR80 crores or INR100 crores might be acquisition-linked, probably a little bit more, might be acquisition-linked revenues which don't generate much margin.

For the organic platform side, you will continue to see this 2%, 3% more margin growth and probably that's a better way to show it. We'll probably change the slides hopefully next time.

The inorganic side, which is the INR35 million that we bought from SessionM, right, those will

not show much margins for the next 12 months.

So, overall margins might not show the same or might show a 1% growth, 1.5% growth, but the core business continues to ramp up on margins. In terms of steady-state margins to your question, we spoke about this in the DRHP as well. I think this is a very high gross margin business.

So, we at steady state we'll be at like a 70% gross margin. We spend about 15% to 16% on tech, we spend a similar amount on sales and marketing, we spend about 5% to 7% on G&A. So, net-net, this should be a 25% to 30% steady-state, probably more, EBITDA margin business.

So what's happening is the core organic business is moving fast towards that 25%, 30% margin.

Then we keep acquiring competitors who we acquire at zero and over two years get them to that same 30% margin. So, that's the balance that keeps happening. I hope I was able to answer your question, Disha.

Disha Chordiya : Yes, that was really, really clear, sir. Thank you so much for that. And sir, this acquisition, can you just elaborate a bit more on what sort of synergy benefits are we expecting and any more inorganic acquisition on the cards that you're looking at?

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Aneesh Reddy: Yes, so on the M&A side, this is obviously a very large acquisition. SessionM was part of Mastercard for the last six years. Very good business, Five Fortune 500 customers, multiple large logos. So, it is a large acquisition. We've now gone met all the customers over the last two months.

We're very encouraged by what we see there. There's a lot of interest in our AI stack. So, we do think that this should deliver similar or better outcomes than what our earlier acquisitions have delivered. We've also got this at a very, very good price, right, at like 0.5x revenue is what we've got the deal at.

In terms of synergies, we had spoken about this in the last call. The business should be at a break-even for year one and probably a little bit positive margins for year two. So, year three is when you will start seeing significant margins as the upgrades happen, as the customers fully move over.

But from an EBITDA standpoint, it will not hurt, it will not like burn for this year. Right, so on the revenue growth side, of course, it's significant, right? It like you might see another year of like very good growth CAGR like Anant was referring to on the growth side.

So, we have very, good visibility on revenue growth for next year thanks to both the SessionM acquisition as well as the organic ads that we have done through the year.

Anant Choubey Yes, just on the synergy side, if you look at what over last year, and we have shared this in the FAQ as well, our headcount increase has been about 1%, which delivered about 23% growth.

So, the non-COGS is where you would see a lot of synergies coming in as we integrate the business.

Aneesh Reddy: Yes, if we had spoken about this again in the last M&A thing, usually, once we upgrade these customers, it delivers a 45

% contribution margin. So, if you're buying \$35 million, let's say

you're able to migrate like 70% of revenues, which is again what we have seen in the last few acquisitions that we've done

And that delivers a 45% contribution margin. SessionM should easily deliver about a INR15 million type EBITDA to the business over the next few years, annual EBITDA going forward.

Today that number is at zero, but if it plays the way the last three, four acquisitions have played, you should have another 5 million coming in as we integrate SessionM fully.

Disha Chordiya : Okay, and on the growth side, you mentioned that we have good visibility. Any sort of number you'd like to put on the revenue growth that we can expect for this year?

Aneesh Reddy: We've just integrating SessionM, just those revenues coming in will take you like closer to a INR1,050 crores mark. So yes, we do have that visibility now. With the acquisition having closed, we are comfortable that revenues will cross INR 1,000 –1,050 crores in FY27.

Disha Chordiya : Okay, That was really helpful. Thank you so much and all the best.

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Moderator : Thank you. So, whoever wishes to ask a question, please use the raise hand symbol on your screen. So, the next question is from Bharat Gulati. Bharat, please let us know your name of the organization and go ahead.

Bharat Gulati: Hi. Bharat from Dalal & Broacha. Thank you for the opportunity. Just had a question regarding the ACV and our ARR's. Just wanted to understand the link between the two. Would it be fair to say that the growth that we've seen in ARR's and the ACV's that have come in this year have

contributed to that growth?

Anant Choubey So, Bharat, actually have to divide growth into three levers. The part of growth comes from new customer's acquisition, second set of growth comes from expansion of existing customers, and the third comes through acquisitions.

The ACV over here, like ACV detail that we shared, is essentially from acquiring new customers as well as expansion from existing customers. Right, so that's a number of about INR121 crores that we showed you.

The second question that you asked is about ARR. That's the run rate at a point in time, right?

So, FY26, end of FY26, while the revenue for the year was about INR735 crores, we are at a run rate of INR765 crores.

Aneesh Reddy: This doesn't include the SessionM acquisition because that we've closed only like on May 1st, right? So, end of March, we were at that INR765 crores run rate.

Bharat Gulati: Yes, I get that. Anant, I think my question, I'll be a little more specific, was that this ARR encompasses these new ACV wins. So, that would bring us to this current ARR that we are at, right? I was just trying to get that understanding?

Anant Choubey : That's correct, Bharat.

Bharat Gulati: So, when I do that math, there is a rough delta of INR36 crores. So, I'm just trying to understand that is that the natural hike that we have in our existing contracts that, like a 5.5%, 6% kind of increase in commitment that we have embedded in our existing contracts that is giving us that extra delta of bringing our ARR to the current level?

Anant Choubey : Yes, so the inflationary hike changes from geography to geography. Like in West, you would see more like 3%, 4%, in higher inflationary countries you see like 7%, 8%. So, combination of this plus the metric expansion, meaning all these contracts are linked to number of transactions or number of customers on the platform, which also grows at couple of percentage every year. So, what you're saying as in combining these two is the natural growth that you see year-on-year in our existing contracts.

Aneesh Reddy: Bharat, to your point, this INR735 to INR765 is not all only inflationary increase or that part. Now, what happens is, let's say we won this large INR

20 million contract, right, which we had

announced last quarter. Now, not all of it goes live in the first quarter itself, right?

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It takes about probably six months, nine months to go live. So, there is also that delta. So, that INR120 crores of ACV that we've signed up, not all of it is fully live right now. So, there is still more there, and that does not include in the INR765 crores. So, there is some delta there which will show up in Q1, in Q2 of this year as well. Right, so yes.

Bharat Gulati: Got that, got that. Really helpful, really helpful.

Aneesh Reddy: It's actually all the three levers of growth which contribute to that INR30 crores and there is more left in terms of the growth in terms of what's already locked in as numbers for next year.

Bharat Gulati: Fair, fair. Got it. So, I'm just trying to understand that when we look at NRR, there would be a percentage of NRR that is that inflationary increase that we are getting and on top of that whatever our contract expansions that happen.

So, just trying to understand what would be a ballpark NRR figure that we would like to see going forward and how much contribution would we see to top line X of NRR, that means customers that newly come in. Roughly this year it would be 13 percentage points. So, what would that be on a, you know, going forward basis?

Aneesh Reddy: Got it. Usually, the way we plan the business, Bharat, is about 115% NRR on the organic business. Right, inorganic, you don't want to chase NRR, you want to chase upgrades, right? Because that delivers the margins. Right, that really delivers the margins there.

So, the focus on the inorganic side is that get the customers to a better experience, lower churn, better margins, right? So, it's a win-win-win for the customer, for us, for the bottom line as well. On the organic side, you know, we try and target this 115% NRR, so that's the 115% NRR on the organic side will roughly translate to like a 10%, 11% growth coming from the NRR motion. You should, if we are closing let's say about INR80-90 crores of new business or a INR70 to INR80 crores of new business a year, which is where we are today, that's another 10% growth from the new ACV that you're closing.

Now, this year of course we've had a very big acquisition, so that also adds to the overall number.

Right, so was I able to explain that for you, Bharat, the NRR then the new ACV and then the M&A piece?

Bharat Gulati: Yes, I get a fair understanding of it. I was just also trying to allude to organic, the customers that we, onboard onto just in terms of new business X of acquisitions. What would that typically range? If we don't acquire and just go for new customer additions in the coming years.

Aneesh Reddy: We did about like this year we did about INR70 to INR80 crores of absolutely new customers,

right? People who were never on the Capillary platform earlier. I think next year you should assume something similar. So, about 10%?

Bharat Gulati: So, 10% growth on top of whatever NRR we are doing X of acquisitions is a fair ballpark to play with?

Aneesh Reddy: Correct.

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Bharat Gulati: Got it. And just on the last question would be on the front on headcount. So, even though headcount's not growing, costs are significantly growing, almost in line with percentage growth on revenue terms. So, when can we see that significantly come down so that leverage starts playing in a much larger way or is that not what we expect?

Aneesh Reddy: Yes, so I think what's happening, Bharat, a little bit is that our headcount hasn't grown, like Anant mentioned. If you look at year-over-year headcount, we've grown 1% while revenue has grown 23%. Now, what we have done is we have ramped up our sales teams in the US. So, our per-cost, you know

now, sales guys are expensive, right?

So, the , that's why you see a little bit of that, you know, the headcount hasn't kept pace with the overall cost growth. We've had roughly a 13%, 14% cost growth over a 23% revenue growth, right? So, I think the US business is still only five years old. We are in a very, very solid place. We are the best -rated platform.

We probably are winning as much business as anyone else in the market, right? So, we are in a very, very good place, like , so we'll continue to make some of those investments. I don't think , you know, you continue to see margin growth happening, you continue to see EBITDA numbers expand. So, we are here , I think there's a long way to go, right, in terms of just steady -state revenue and so we'll continue to invest in good resources globally.

Bharat Gulati: Got it . Thank you. Very clear. Thank you so much.

Kanav: Thank you. Whoever wishes to ask a question, please use the raise hand symbol on your screen. The next question is from the line of NGN Puranik. Please let us know your organization name and please go ahead.

NGN Puranik: Hello.

Kanav: Yes, please go ahead.

NGN Puranik: Yes, Hi, Mr. Aneesh. I would like to understand how will you manage buying companies which have strong IP, good platform, and struggling margins, and how do you make them smarter and bring to your company level average?

Aneesh Reddy: Right, so you know,

NGN Puranik: What's your secret sauce?

Aneesh Reddy: I think most of the acquisitions we've done, this is our fifth acquisition in SessionM, right? So, we've done this five times now. And if you look at loyalty as a space, it has existed for a while, right?

NGN Puranik: Very long, very long history.

Aneesh Reddy: Yes, so it's a 30, 40-year-old.

NGN Puranik: 30, 40-year-old industry.

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Aneesh Reddy: And it's a very sticky business. What happens is once you go live with a loyalty platform, you have some seven, eight integrations in a customer. So, for a customer to then, you know, move, it really needs a lot of pain, right?

So, and what we generally seen is given the fragmented nature of the loyalty industry, there aren't many players beyond the, you know, \$50 million - \$100 million in revenues, right? So, what that means is there are a lot of people below \$50 million and technology changes have been like in the 18 years of Capillary .

You've had a cloud wave come in, you've had a mobile wave come in, you've had a social wave come in, you've had an AI wave come in, and you've had an e-commerce wave come in, right?

So, that's five tech changes. And most of these platforms aren't able to continue to invest that \$10 million to \$20 million every year to keep the platform going, right?

So, and that's why what ends up happening is you get to a very good cohort of customers at some point in time, the business is delivering a 5%, 10% margins, the management, the founders of those companies are comfortable and they stop investing in tech and then they start falling back, right?

So, a big customer leaves, you start seeing margins deplete. So, we're really doing a roll -up of

companies which were great earlier, right? Put it that way. And that's a big win then for the existing shareholders because they get some money off the table. It's a good win for the customers who are coming in because they get to the best platform in the space.

It's a good win for us because fundamentally, you know, you're moving from a 20% margin platform to a 65%, 67% gross margin platform in Capillary.

NGN Puranik: But can you be specific and elaborate on a specific company where you did acquisition recently, you know?

Aneesh Reddy: Let's talk about Brierley. We actually spoke about this quite a bit on the last call. I'd encourage you to go listen to the last call.

NGN Puranik: Sure.

Aneesh Reddy: J

Just summarizing that for you. So, the way it works is let's say we've bought \$100 of revenue, we've roughly paid \$100 on an average, right? So, like we've paid anything between 0.3 to 1.5 times, 1.5 times revenue. So, \$100 of revenue means you've spent \$100.

Now, you upgrade those customers over the next, you know, 24 to 36 months. This was pre-AI. With AI, we think it will be a shorter cycle. But you know, as you migrate, you give these customers discounts, not everyone migrates. We've roughly seen a 70% of revenues migrating post-discount, post-churn, right?

So, usually give a healthy 10% discount in the first year to help with the migrations. So, of the \$100, you're \$70 left. Now, this \$70 in the last the first three acquisitions, Persuade, Brierley, Capillary Technologies India Limited

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and Rewards, we've been able to get them to a 45% contribution margin and a like a 65% gross margin, right?

So, this \$70 is now delivering about \$30-\$35 of cash for you every year. Right, so and this we shared this data in the last quarter so if you think of it, take a 18 to 24 months to start delivering this, then a two, three years to pay off, so roughly on a four year basis, you should four to five year basis, you should make all the cash back on any acquisition that you have done.

If you're like if you've bought something at half times revenue, then obviously you're going to make cash back a lot sooner, which is the case with the SessionM business. But I hope you got the broad math.

NGN Puranik: I got the broad math, but what I'm trying to understand is what will these companies bring to the table? The customer access or is it the IP they will add to your platform or what do they bring or just?

Aneesh Reddy: Mostly like 90% of the value comes from the customer access. Right, so just given loyalty is a very sticky business, I think getting access to sticky long-term revenues is the biggest goal.

Having said that, each of these have got like the Persuade business got us a lot of good digital capabilities, the Brierley business got us a very, very strong best-in-class consulting arm to the business.

It's a very small part of our revenues but very, very important in terms of winning new customers.

The Rewards business got us a rewards stack. With SessionM, we are getting a bunch of this whole card-linked loyalty type stuff, but I would put them more as, you know, the 10%, 20% of the benefit, 80% of the benefit comes from the revenue and the margin increase that they deliver.

NGN Puranik: Beyond loyalty, you have anything else?

Aneesh Reddy: You know, like I don't know if you joined the call late, but we did have the other products that we spoke about. There's of course the Engage stack, which is a broader marketing automation stack. There's a lot of the AI stuff. It's still very early days.

You know, we probably at about 4%, 5% of our revenues coming from the AI stack. Now, not all of it is live. The newer customers are the ones signing up for more the AI stack. But yes, I think there is more there, especially with this AI stuff. We spoke about the whole system of intelligence, system of action, right? So, there is more there as well.

NGN Puranik: So, AI is productive or AI is predictive?

NGN Puranik: The AI what you are using is productive AI or predictive AI?

Aneesh Reddy: You know, you use a little bit of everything, right? So, there are very predictive models, propensity in the tool as well. There are also very like very prescriptive type stuff, right, in the tool. But I don't think from a customer's standpoint, how does it matter?

NGN Puranik: No, from your perspective, from your perspective I'm saying.

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Aneesh Reddy: It's both. I mean, if you actually think of AI on the stack, we've definitely ahead of the rest of

the market. Talk

to any analyst, they'll talk about some of the use cases being like way ahead.

NGN Puranik: Right. And how will you get the deal sizes better on a platform, loyalty platform like this? You think it can get much better in size for you to get into the next league of growth?

Aneesh Reddy: Size in terms of per customer?

NGN Puranik: Yes, per customer average signups. You do need to do something about the platform on the IP side, you need to strengthen that, the more intelligence coming out of the platform on customer actions going forward. So, is there anything like that, that's why I was saying predictive part ?

Aneesh Reddy: There is enough. I mean, I'd encourage you to go look at our website, there's a bunch of very good demos there. Look, I think I think like I spoke about on the AI side, we are looking to price it as a usage -based model.

So, there's going to be the fixed fee for or the system of record type pricing for the base license for loyalty, and then you will have more usage -based revenues from the AI stack. There's enough there. I think you'll have to give it some time to play out. Just given large enterprises is a, you know, sales cycles are long, they take time to decide, right? So, give it some time to play out.

NGN Puranik: Wonderful, Aneesh. Nice talking to you. Bye.

Kanav: Thank you. Whoever wishes to ask a question, please use the raise hand symbol on your screen.

So, since we do not have any questions, so I'll hand it over to Aneesh for his closing remarks.

Aneesh, please go ahead.

Aneesh Reddy: Thanks, Kanav. Thanks everyone for joining the call. I think we've had a very, very good quarter both in terms of numbers and general momentum on the business with winning a Fortune 500 customer, acquiring SessionM and closing that deal as well.

I think we have very good visibility of both revenue growth as well as EBITDA growth for the foreseeable next few quarters . So, yes, looking forward to continuing to deliver on the promise at Capillary. Thanks everyone.

Kanav: Thank you everyone. Have a nice day.

Aneesh Reddy: Thank you.